

Configuring Auto Enrolment

User Guide

CoreHR Limited Distribution

Payroll

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Document Control

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1. Overview

1.1. Purpose of the Guide

The purpose of this document is to provide guidance on how to configure auto enrolment. This will include how to set parameters used to control auto enrolment.

1.2. What is Auto Enrolment?

Auto Enrolment is a government initiative and requires every employer of staff normally working in the UK to put their qualifying staff into a workplace pension scheme and to make contributions towards their employee's pension.

Employees will be automatically enrolled into the workplace pension scheme if they are not already active members of a workplace pension scheme that meets a set of minimum standards. The employer must make pension contributions to the pension scheme, and the worker may also have to contribute. Workers who do not want to join the scheme may opt-out for a three-year period. But, employers are required to continue automatically enrolling eligible workers who've opted out, every three years.

Eligible employees are workers who:

- Are aged between 22 and State Pension Age;
- Earn over the earnings threshold, and
- Work, or ordinarily work in the UK and have a contract of employment (i.e. so is a worker and not a self-employed contractor), or who have a contract to provide work and / or services personally (so can't sub-contract to a third party).

2. Configure Auto enrolment Parameters

2.1. Configure Auto enrolment

To configure auto enrolment:

1. Go to *Settings > UK Tax Rates > General > Auto Enrolment*

The screenshot shows the 'General' settings page for Auto Enrolment. At the top, there are four input fields: 'SMP Pay Code' (Keep In Touch Days), 'ShPP Pay Code', 'Max Days SMP' (10), and 'Max Days ShPP' (20). Below these is the 'General' section with fields for 'Current Year Statutory Rate' (139.58), 'Previous Year Statutory Rate' (138.18), 'Emergency Tax Code' (1060L), 'Basic Rate Tax Code' (BR), 'Average Earnings Warning' (toggle on), 'NIC Compensation Percentage' (empty), 'Temp RejoinersP46 No Box Ticked' (0T), and 'Scottish tax Code' (S0T). Below the 'General' section is the 'Redundancy' section with fields for 'Max Redundancy Rate' (475), 'Max Redundancy Weeks' (20), and 'Max Redundancy Years' (empty). At the bottom, there is a navigation bar with buttons for 'Average Pay/Pay Days', 'Redundancy', 'Statutory Recovery', 'Auto Enrolment' (highlighted with a red box and a red arrow), 'RTI', and 'Other'. A green 'Save' button is located at the bottom right.

2. Complete any of the relevant fields and turn on / off any relevant indicators.

See the table on the next page for further guidance on how to update these settings.

The screenshot shows the 'Auto Enrolment Parameters' dialog box. It contains the following fields: 'Staging Period' (201401), 'Auto Enrolment Minimum Age' (16), 'Auto Enrolment Maximum Age' (74), 'Minimum Eligible Jobholder Age' (22), 'Re Enrolment Years' (3), 'Default Pension Scheme' (Standard Defined Contribution Scheme...), 'Multipost Aggregate Earnings' (toggle on), 'Postpone Pension Enrolment based on Employee Start Date' (toggle off), and 'Options' (Choose). A green 'Save' button is located at the bottom right.

3. Click **Save**.

Field	Description
Staging Period	Enter the earliest pay period in which auto enrolment is due to commence, e.g. '201701'.
Auto Enrolment Min Age	Enter the minimum age to be considered when determining the job holder status.
Auto Enrolment Max Age	Enter the maximum age to be considered when determining the job holder status.
Minimum Eligible Jobholder Age	Enter the auto enrolment minimum eligibility age. An employee must be at least this age to be deemed eligible for Auto enrolment in a Pension Scheme.
Re Enrolment Years	Enter the number of years, after which an employee has opted out of auto enrolment, and they are due to be re-enrolled.
Default Pension Scheme	Select a pension scheme from the drop-down list. This will be the scheme the employee will be auto enrolled in by default.
Multipost Aggregate Earnings	This is only for those employees with multiple active contracts. Enable this if all the employees' combined earnings from all posts are to be used on the earnings eligibility check.
Postpone Pension Enrolment based on Employee Start Date	Enable this if the employee is to be postponed from auto enrolment based on their 'Start Date', rather than the first period they were paid in.

**Note:**

These come preconfigured as part of the software delivery.

The *Options* dropdown list provides a list of 7 further auto enrolment configuration screens, each of which will be reviewed in sections

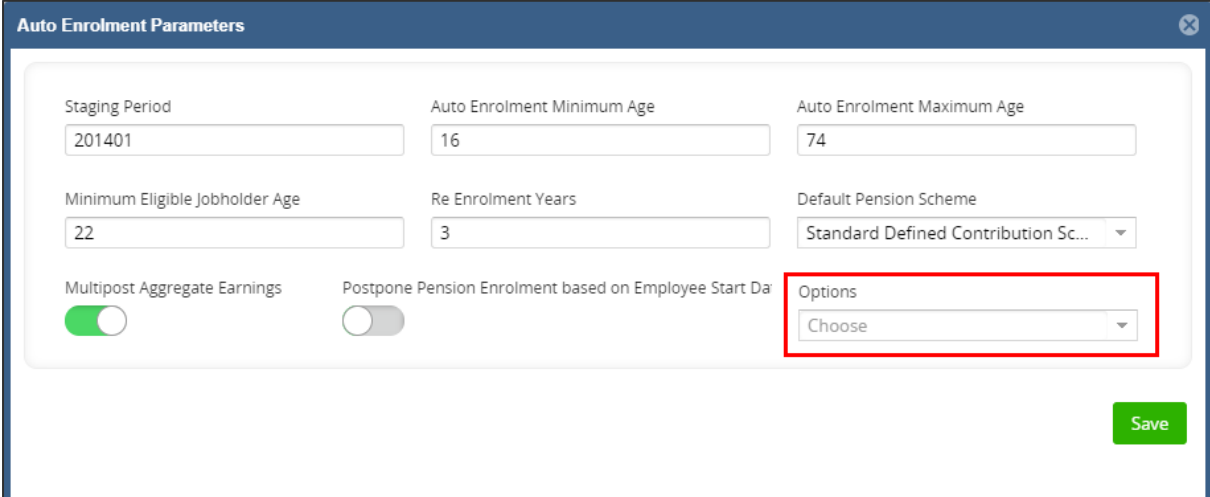
2.2. Configure Pay Code Options for Auto Enrolment

Qualifying earnings for auto enrolment are made up of any of the following components of pay that are due to be paid:

- Salary
- Wages
- Commission
- Bonuses
- Overtime
- Statutory sick pay
- Statutory maternity pay
- Ordinary or additional statutory paternity pay
- Statutory adoption pay

Follow these steps to exclude pay codes, when considering earnings for auto enrolment.

1. On the *Auto Enrolment Parameters* screen, select **01 - Pay Codes** from the *Options* drop-down list.



The screenshot shows the 'Auto Enrolment Parameters' screen. It features a blue header bar with the title 'Auto Enrolment Parameters' and a close button. Below the header, there are several input fields and toggle switches. The 'Options' dropdown menu is highlighted with a red box. The 'Options' dropdown menu is currently set to 'Choose'.

Field	Value
Staging Period	201401
Auto Enrolment Minimum Age	16
Auto Enrolment Maximum Age	74
Minimum Eligible Jobholder Age	22
Re Enrolment Years	3
Default Pension Scheme	Standard Defined Contribution Sc...
Multipost Aggregate Earnings	☒
Postpone Pension Enrolment based on Employee Start Da	☐
Options	Choose

Save

Payroll: Configuring Auto enrolment

Auto Enrolment Parameters

Staging Period: 201401

Auto Enrolment Minimum Age: 16

Minimum Eligible Jobholder Age: 22

Re Enrolment Years: 3

Multipost Aggregate Earnings: ☒

Postpone Pension Enrolment based on Employee Start Date: ☐

01 - Pay Codes
02 - Pay Groups
03 - Pension Schemes
04 - State Pension Ages
05 - Earnings Parameters
06 - Pension Rules
07 - Company Parameters

Choose

Save

2. Enable the **Non-Qualifying** indicator for any pay code to be excluded, when considering earnings for auto enrolment.

Pay Codes To Be Excluded From Auto Enrolment Earnings

Pay Code		Non Qualifying
1000	Salary	☐
1002	Salary Arrears	☐
1003	Occupational Salary Offset	☐
1004	Additional Salary Arrears	☐
1005	Basic Hours	☐
1006	Basic Hours Arrears	☐
1007	Holiday Pay (17.00%)	☐

3. Click **Save**.

Note:

Ensure to review any negative allowance pay codes. If negative allowances are not marked as not qualifying, the assessment is taken on the reduced employee earnings.

2.3. Configure Pay Group Options for Auto Enrolment

This is relevant for clients with companies and payrolls in countries other than the United Kingdom.

1. On the *Auto Enrolment Parameters* screen, select **02 - Pay Groups** from the *Options* drop-down list.

Auto Enrolment Parameters

Staging Period: 201401

Auto Enrolment Minimum Age: 16

Minimum Eligible Jobholder Age: 22

Re Enrolment Years: 3

Multipost Aggregate Earnings: ☒

Postpone Pension Enrolment based on Employee Start Date: ☐

Options: 01 - Pay Codes, 02 - Pay Groups, 03 - Pension Schemes, 04 - State Pension Ages, 05 - Earnings Parameters, 06 - Pension Rules, 07 - Company Parameters, Choose

Save

2. Enable the **Non-Qualifying** indicator for any pay group to be excluded from auto enrolment.

Non Qualifying Auto Enrolment Pay Groups

Pay Group	Non Qualif...	Re-Enrolment Period
1 Monthly Payroll (Uk)	☐	
100 Archived 100	☐	
200 Weekly Payroll	☐	
999 Non Payroll	☐	
1000 Archived 1000	☐	
1001 Monthly Payroll 1	☐	
1002 Monthly Payroll 2	☐	

3. Click **Save**.

2.4. Configure Pension Scheme Options for Auto Enrolment

Not all pension schemes meet the auto enrolment criteria. The below link to the Pension Regulator website has a tool to determine if an existing pension scheme meets the auto enrolment requirements.

[The pensions regulator: Does-your-existing-scheme-qualify](#)

Follow these steps to identify any pension schemes which do not meet the requirements.

1. On the *Auto Enrolment Parameters* screen, select **03 - Pension Schemes** from the *Options* drop-down list.

The screenshot shows the 'Auto Enrolment Parameters' window. It contains several input fields: 'Staging Period' (201401), 'Auto Enrolment Minimum Age' (16), 'Minimum Eligible Jobholder Age' (22), and 'Re Enrolment Years' (3). There are also two toggle switches: 'Multipost Aggregate Earnings' (turned on) and 'Postpone Pension Enrolment based on Employee Start Date' (turned off). On the right, a dropdown menu is open, showing a list of options. The option '03 - Pension Schemes' is highlighted with a red box. The 'Save' button is located at the bottom right of the window.

2. Enable the **Non-Qualifying** indicator for any / each pension scheme which do not meet the requirements.

Pension Code		Non Qualifying
1	Local Government Pension Scheme (Lgps)	☐
2	Teachers Pension Scheme (Tps)	☐
3	University Superann Scheme (Uss)	☐
5	Nest	☐
6	Nhs Officers	☐
7	Saul	☐
8	Salary Sacrifice	☐
100	Standard Defined Contribution Scheme	☐

3. Click **Save**.

2.5. Configure State Pension Ages for Auto Enrolment

This allows the user to set eligibility for a state pension date of the birth range. This can be set separately for both males and females.

As these are subject to change, these should be checked and updated as required. Follow these steps to update the ages as required.

1. On the *Auto Enrolment Parameters* screen, select **04 - State Pension Ages** from the *Options* drop-down list.

The screenshot shows the 'Auto Enrolment Parameters' window. It contains several input fields: 'Staging Period' (201401), 'Auto Enrolment Minimum Age' (16), 'Minimum Eligible Jobholder Age' (22), and 'Re Enrolment Years' (3). There are also two toggle switches: 'Multipost Aggregate Earnings' (checked) and 'Postpone Pension Enrolment based on Employee Start Date' (unchecked). On the right, a dropdown menu is open, listing various configuration options. '04 - State Pension Ages' is selected and highlighted with a red rectangle. A green 'Save' button is located at the bottom right of the window.

2. Click into the field to be updated and make the changes required, e.g. Male Years, Female Years etc.

State Pension Ages						
DOB Range	Male Years	Months	Female Years	Months	Unknown Years	Months
06-Dec-1954	66		66		66	
06-Nov-1954	66		66		66	
06-Oct-1954	65		65		65	
06-Sep-1954	65		65		65	
06-Aug-1954	65		65		65	
06-Jul-1954	65		65		65	
06-Jun-1954	65		65		65	
06-May-1954	65		65		65	

3. Click **Save**.

2.6. Configure Earnings Parameters for Auto Enrolment

Set the earnings threshold trigger for auto enrolment for the tax year. It is vital the user verifies these rates are correct at the time of input as they are subject to change. Follow these steps to view/update the current settings.

1. On the *Auto Enrolment Parameters* screen, select **05 - Earnings Parameters** from the *Options* drop-down list.

Auto Enrolment Parameters

Staging Period: 201401

Auto Enrolment Minimum Age: 16

Minimum Eligible Jobholder Age: 22

Re Enrolment Years: 3

Multipost Aggregate Earnings: ☒

Postpone Pension Enrolment based on Employee Start Date: ☐

Options:

- 01 - Pay Codes
- 02 - Pay Groups
- 03 - Pension Schemes
- 04 - State Pension Ages
- 05 - Earnings Parameters**
- 06 - Pension Rules
- 07 - Company Parameters

Choose

Save

2. If necessary, click into the field to be updated and make the changes required etc.

Auto Enrolment Earnings Parameters

Year	Auto Enrolment Earnings Trigger	Auto Enrolment Lower Qualifying Earnings Band
2018	10000	6032
2017	10000	5876
2016	10000	5824
2015	10000	5824

Cancel Save

3. Click **Save**.

2.7. Configure Pension Rules for Auto Enrolment

Pension rules allow for the following settings to be applied for auto enrolment:

- Set Default Pension Rules, i.e. what scheme will employees be auto enrolled in by default.
- Postpone Pension
- Exclude pension

Default Pension Rules

Reference Item default
Status

Reference	Pension Scheme
A	APPRENTICE/TRAINEE
CS	CASUAL / ZERO HOURS

2.7.1. Set Default Pension Scheme Rules:

Follow these steps to set the default auto enrolment pension scheme for each category of employee:

1. On the *Auto Enrolment Parameters* screen, select **06 - Pension Rules** from the *Options* drop-down list.

Auto Enrolment Parameters

Staging Period: 201401
Auto Enrolment Minimum Age: 16
Minimum Eligible Jobholder Age: 22
Re Enrolment Years: 3
Multipost Aggregate Earnings: ☒
Postpone Pension Enrolment based on Employee Start Date: ☐

Options:
01 - Pay Codes
02 - Pay Groups
03 - Pension Schemes
04 - State Pension Ages
05 - Earnings Parameters
06 - Pension Rules
07 - Company Parameters
Choose

Save

2. Select the option used to identify the category of employee, e.g. 'Status'. The screen updates to display a list of statuses in the *Reference* column.

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3. Select a pension scheme from the drop-down menu for each relevant category, i.e. for each Status, identify the default pension scheme.

Reference	Pension Scheme
A	APPRENTICE/TRAINEE
CS	CASUAL / ZERO HOURS
FT	FIXED TERM
LE	LEAVER (CORETIME-DO NOT REMOVE)
NE	3RD PARTY / NON-EMPLOYEE
O	OTHER PERSON ENGAGED
P	100 STANDARD DEFINED CONTRIBUTION SCHEME
PE	1 LOCAL GOVERNMENT PENSION SCHEME (LGPS)

4. Click **Save**.

When 'Auto Enrolment' is run, if the employee is assessed and deemed to have passed the required checks for auto enrolment the system will check the pension rule to see what pension scheme to create for the employee. Alternatively, if no rule is set up, it will use the global system default auto enrolment pension scheme.

2.7.2. Postpone Pension:

This screen allows an organisation to apply postponement to groups of employees. Employees are still assessed for auto enrolment as normal in this case; however, if found to be eligible for auto enrolment, they are postponed for X number of periods. This also allows employers an opportunity to cater to casual type employees with earnings spikes to be re-assessed.

To set postponement:

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1. On the *Auto Enrolment Parameters* screen, select **06 - Pension Rules** from the *Options* drop-down list.
2. Select **Postpone Pension** at the top of the screen.
3. Select the reference item that will be used to identify the category of employees for the postponement rule, e.g. 'Status' — the screen updates to display the list of reference items, e.g. the list of status values.
4. Enter a value in the relevant *Weeks*, *Fortnights*, *4 Weeks* or *Months* column for each relevant category of employee.
5. Click **Save**.

Default Pension Rules: **Postpone Pension** Exclude

Reference Item: Status

Postpone Pension Enrolment

Reference		<----- Number of ----->			
		Weeks	Fortnights	4 Weeks	Months
A	APPRENTICE/TRAINEE				3
CS	CASUAL / ZERO HOURS				
FT	FIXED TERM				
LE	LEAVER (CORETIME-DO NOT REMOVE)				

2.7.3. Exclude:

This screen allows you to create a rule to exclude groups within an organisation from auto enrolment.

1. On the *Auto Enrolment Parameters* screen, select **06 - Pension Rules** from the *Options* drop-down list.
2. Select **Exclude** at the top of the screen.
3. Select the reference item that will be used to identify the category of employees for the postponement rule, e.g. Company. The screen updates to display the list of reference items, e.g. the list of companies.
4. Enable the **Exempt** indicator for each company to be excluded from auto enrolment.

Payroll: Configuring Auto enrolment

Default Pension Rules Postpone Pension **Exclude**

Reference Item
Company

Exclude From Pension Enrolment

Reference		Exempt
1	CUSTOMER COMPANY (UK)	☒
2	CUSTOMER COMPANY (IE)	☐
1000	ABC SOLUTIONS	☒
1004	DEF Solutions	☐
1005	ABC SOLUTIONS	☒
1007	ABC SOLUTIONS	☐
1115	Anvils LTD	☐

Cancel Save

5. Click **Save**.
6. Repeat for any other reference items as required:

Default Pension Rules Postpone Pension **Exclude**

Reference Item
Company

Exclude From Pension Enrolment

Reference		Exempt
1	(UK)	☒
2	(IE)	☐
1000		☒
1004		☐
1005		☒
1007	ABC SOLUTIONS	☐
1115	Anvils LTD	☐

2.8. Configure Company Parameters for Auto enrolment

This is required to ensure that auto enrolment is enabled at a company level. Follow these steps to review this configuration.

1. On the *Auto Enrolment Parameters* screen, select **07 - Company Parameters** from the *Options* drop-down list.

Auto Enrolment Parameters

Staging Period: 201401

Auto Enrolment Minimum Age: 16

Minimum Eligible Jobholder Age: 22

Re Enrolment Years: 3

Multipost Aggregate Earnings: ☒

Postpone Pension Enrolment based on Employee Start Date: ☐

Options:

- 01 - Pay Codes
- 02 - Pay Groups
- 03 - Pension Schemes
- 04 - State Pension Ages
- 05 - Earnings Parameters
- 06 - Pension Rules
- 07 - Company Parameters**

Save

2. Enable the **Apply Auto Enrol** indicator for each relevant company.
3. The staging Period can also be set here. All auto enrolment staging dates were set by reference to the size of their largest PAYE scheme as at April 2012. All employers that were in existence prior to 1st October 2017 would have been given a staging date.

Company Parameters

Company	Description	Apply Auto Enrol	Staging Period
1	CUSTOMER COMPANY (UK)	☒	201401
2	CUSTOMER COMPANY (IE)	☐	
1004	DEF Solutions	☒	201401
1005	ABC SOLUTIONS	☒	201401

Cancel Save

4. Click **Save**.